TRANSACTIONAL NEEDS

The liquidity requirements for your transactional need should be ideally met by your salary, business profits, interest, rent etc. In most cases, transactional amount is not used from assets but from income and as income is received in cash, we do not need to manage liquidity for transactional amount separately.

PRECAUTIONARY NEEDS

The precautionary amount is the money that we do not necessarily need instantly but we would want it liquid enough to be cashed out at very short notice, maybe even instantly. This is also called emergency money. Here, we will keep the money in highly liquid assets. These will include bank saving deposits, fixed deposits that can be en-cashed before maturity or jewellery.

Ideally, we should save up 8-9x of our average monthly income for this. Thus, if we earn Rs. 1 lac per month, a liquid asset base of Rs. 8-9 lac is sufficient to sustain our requirements.

GROWTH NEEDS

This will mainly include the amount that is to be invested in our general growth and meeting our financial goals. If a major goal is to be achieved in the following year, the liquidity needs will go up substantially. On the other hand, if the next major financial goal is 5 years away, we can invest in less liquid assets. Thus, liquidity needs depend on flexibility and time horizon of various financial goals.